

Leave Policy

Effective January 1, 2026 | Version 4.2 | Human Resources Department

1. Purpose and Scope

This policy defines the leave entitlements, eligibility criteria, approval workflows, and carry-forward rules for all employees of TechCorp Inc. across all US office locations and remote workers. This policy applies to full-time employees, contract employees, and interns unless explicitly stated otherwise. All leave balances are calculated on a calendar year basis (January 1 through December 31).

2. Leave Types and Annual Entitlements

TechCorp provides three categories of paid leave. Entitlements vary by employment type. The following table summarizes the annual allocation for each category.

Leave Type	Full-Time	Contract	Intern	Accrual Method
Casual Leave	12 days	8 days	5 days	Credited upfront on Jan 1
Sick Leave	10 days	7 days	5 days	Credited upfront on Jan 1
Earned Leave	15 days	10 days	Not eligible	Accrues at 1.25 days/month

Employees who join mid-year receive a pro-rated allocation based on their date of joining. For casual and sick leave, the pro-rated amount is calculated as (annual entitlement / 12) multiplied by the number of remaining full months in the year. Earned leave accrual begins from the first full month of employment.

2.1 Casual Leave

Casual leave is intended for personal errands, family obligations, or short unplanned absences. Employees may take casual leave in half-day or full-day increments. A maximum of 3 consecutive casual leave days may be taken without additional approval. Requests exceeding 3 consecutive days require prior written approval from the department head. Casual leave cannot be combined with earned leave to create a block of more than 5 consecutive workdays off without VP-level approval.

2.2 Sick Leave

Sick leave covers personal illness, medical appointments, and recovery from medical procedures. Employees must notify their manager before 10:00 AM on the day of absence or as soon as reasonably possible. For absences exceeding 3 consecutive days, a medical certificate from a licensed healthcare provider is required upon return. Sick leave may also be used for the care of an immediate family member (spouse, child, or parent) who is ill, up to a maximum of 3 days per calendar year.

2.3 Earned Leave

Earned leave (also referred to as vacation leave or PTO accrual) is designed for planned vacations, extended personal time, and other pre-approved absences. Earned leave accrues monthly at the rate specified in the entitlements table above. Employees must submit earned leave requests at least 7 calendar days in advance for blocks of 1 to 3 days, and at least 14 calendar days in advance for blocks of 4 or more days. Approval is subject to team workload and project deadlines. Managers should respond to earned leave requests within 3 business days of submission.

3. Work From Home (WFH) Policy

All full-time and contract employees are eligible for Work From Home days. WFH days are tracked separately from leave balances and are not deducted from any leave category. Employees designated as 'Remote' in the HRIS system are exempt from WFH limits as their primary work arrangement is remote.

Employment Type	Quarterly WFH Limit	Notes
Full-Time	10 days per quarter	Unused WFH days do not roll over
Contract	6 days per quarter	Subject to client project requirements
Intern	4 days per quarter	Requires manager pre-approval each time

Quarters are defined as: Q1 (January through March), Q2 (April through June), Q3 (July through September), Q4 (October through December). WFH days that are unused in a quarter do not carry forward to the next quarter. Employees must log WFH days in the attendance system by end of day. Managers may request employees to be onsite for specific meetings, team events, or project milestones even on scheduled WFH days with at least 24 hours notice.

4. Leave Carry-Forward Rules

TechCorp allows limited carry-forward of unused leave balances to encourage employees to take time off while also providing flexibility. The following rules apply at the end of each calendar year (December 31).

Leave Type	Max Carry-Forward	Expiry of Carried Balance
Casual Leave	5 days	Expires March 31 of the following year

Leave Type	Max Carry-Forward	Expiry of Carried Balance
Sick Leave	No carry-forward	Unused balance forfeited on Dec 31
Earned Leave	10 days	Expires June 30 of the following year

Carried-forward earned leave that expires unused is not eligible for encashment. Employees are strongly encouraged to utilize their leave balances throughout the year rather than accumulating them. In exceptional cases where business needs prevented an employee from taking approved leave, the VP of the department may grant a one-time extension of up to 30 days on the carry-forward expiry date. Such extensions must be documented in writing and filed with HR.

5. Leave Encashment

Earned leave is the only leave type eligible for encashment. Employees may request encashment of unused earned leave once per calendar year, subject to the following conditions: (a) the employee must have a minimum balance of 5 earned leave days after encashment, (b) the maximum encashable amount per year is 10 days, and (c) encashment is processed at the employee's current basic salary rate. Encashment requests must be submitted through the HRIS portal between October 1 and November 15 each year. Payment is included in the December payroll cycle.

6. Approval Workflow

All leave requests must be submitted through the TechCorp HRIS portal. The approval chain is as follows:

1. Employee submits leave request via the HRIS portal with dates, leave type, and reason.
2. The direct manager (reporting manager) receives an email and in-app notification.
3. The manager reviews the request against team schedules and project timelines.
4. The manager approves or rejects the request within 3 business days.
5. For blocks exceeding 5 consecutive workdays, the department head must also approve.
6. The employee receives an email confirmation of the final decision.

If the direct manager does not act on a leave request within 3 business days, the request auto-escalates to the department head. Emergency sick leave taken without prior approval must be regularized within 2 business days of the employee's return.

7. Loss of Pay (LOP)

When an employee has exhausted all applicable leave balances and takes additional days off, those days are marked as Loss of Pay. LOP days result in a proportionate deduction from the employee's monthly gross salary. The deduction formula is: (monthly gross salary / total working days in the month) multiplied by the number of LOP days. LOP days exceeding 5 in a single month trigger a notification to the HR Business Partner for review. Excessive LOP (more than 15 days in a calendar

year) may affect the employee's annual performance review and bonus eligibility.

8. Company Holidays for 2026

The following dates are designated as company-wide paid holidays for all US-based employees and remote employees reporting to US managers.

Date	Day	Holiday
January 1	Thursday	New Year's Day
January 19	Monday	Martin Luther King Jr. Day
February 16	Monday	Presidents' Day
May 25	Monday	Memorial Day
July 3	Friday	Independence Day (observed)
September 7	Monday	Labor Day
November 26	Thursday	Thanksgiving Day
November 27	Friday	Day After Thanksgiving
December 24	Thursday	Christmas Eve
December 25	Friday	Christmas Day
December 31	Thursday	New Year's Eve

In addition to the holidays listed above, employees may request up to 2 floating holidays per year to observe cultural or religious occasions not covered by the company holiday calendar. Floating holidays must be approved by the direct manager at least 5 business days in advance and are not carried forward to the next year.